KO 1 3.6.1 | HR Objectives & Approaches

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

WHAT AQA LISTS

Employee engagement - how committed staff are to the business and its goals.

Talent development - identifying and developing staff with high potential.

Training - giving staff the skills the business needs.

Diversity - a workforce that reflects the wider population and customers.

Alignment of values - staff sharing the values of the business.

Number, skills and location of employees - having the right people in the right places.

THE VALUE OF HR OBJECTIVES

Give HR managers clear targets and a way of measuring progress.

Make sure the workforce supports the corporate strategy, e.g. expansion abroad needs staff in new locations.

Help coordinate HR with marketing, operations and finance.

SOFT AND HARD HRM

Soft HRM - staff are treated as a valuable resource to be developed. Long-term focus, training, involvement, engagement and good communication.

Hard HRM - staff are treated as a cost to be controlled. Short-term focus, staff numbers matched closely to needs, little involvement, often more centralised.

INFLUENCES ON HR OBJECTIVES

Corporate objectives and the financial position of the business.

The labour market - skills shortages, wage levels.

Technology changing the skills needed and ways of working, e.g. remote working.

Laws, ethics and the culture of the business.

EXAM TRAP

Soft HRM is not 'being nice' and hard HRM is not 'being harsh'. They are different ways of seeing staff - as an asset to develop or a cost to manage.

ANALYSIS CHAIN

Soft HRM approach → investment in training and involvement → higher engagement → better productivity and lower labour turnover → recruitment costs fall.

TOP GRADE CONNECTION

The right approach depends on the business. A firm competing on expert service gains from soft HRM; a business facing a financial crisis may need elements of hard HRM in the short term.

KO 2 3.6.2 | HR Data

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CALCULATIONS

Labour turnover (%) = number of staff leaving ÷ number of staff employed × 100

Labour productivity = output over a time period ÷ number of employees

Employee costs as a percentage of turnover = employee costs ÷ turnover × 100

Labour cost per unit = labour costs ÷ units of output

WORKED EXAMPLE

A firm employs 80 staff on average; 12 leave in the year. Output is 90,000 units. Employee costs are £360,000 and turnover (revenue) is £1.2m.

Labour turnover = 12 ÷ 80 × 100 = 15%

Labour productivity = 90,000 ÷ 80 = 1,125 units per employee

Employee costs as % of turnover = £360,000 ÷ £1.2m × 100 = 30%

Labour cost per unit = £360,000 ÷ 90,000 = £4

INTERPRETING THE DATA

High labour turnover - higher recruitment and training costs and loss of skills, but can bring in new ideas.

Rising productivity - lower labour cost per unit, more competitive.

Employee costs as % of turnover - naturally higher in labour-intensive businesses; compare with similar firms.

USING DATA FOR HR DECISIONS

HR data helps plan recruitment and training, judge the effect of changes such as new pay schemes, and spot problems early.

Compare over time and with competitors, and look for the reasons behind the figures.

EXAM TRAP

Turnover can mean two things. Labour turnover is staff leaving; 'turnover' in employee costs as a % of turnover means revenue. Read the question carefully.

ANALYSIS CHAIN

Labour turnover rises → more spent on recruiting and training → new staff less productive at first → labour cost per unit rises → margins fall.

TOP GRADE CONNECTION

Some labour turnover is healthy. Judge whether the level is a problem by comparing it with the industry - 15% may be low in hospitality but high in a law firm.

KO 3 3.6.3 | Organisational Structures

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FUNCTIONAL

Organised by department - marketing, operations, finance, HR.

For - specialists work together, clear lines of responsibility.

Against - departments can work in isolation and poor communication between them can slow decisions.

PRODUCT-BASED

Organised around products or product ranges, each with its own functions.

For - focus on the needs of each product's market; clear accountability for each product's performance.

Against - duplication of functions, rivalry between divisions.

REGIONAL

Organised by geographical area, e.g. Europe, Asia, North America.

For - can respond to local customers, laws and cultures.

Against - duplication and higher costs; regions may pull in different directions.

MATRIX

Staff report to two managers - usually a functional manager and a project or product manager.

For - brings together expertise from different functions for projects; flexible.

Against - confusion over who to report to, possible conflict between managers, more complex to run.

EXAM TRAP

Don't just describe the structure. Explain how it affects communication, speed of decision making or costs in the business in the case.

ANALYSIS CHAIN

Move to a regional structure → regional managers closer to local customers → products and marketing adapted to local needs → sales rise, but costs rise from duplicated functions.

TOP GRADE CONNECTION

The best structure depends on the strategy. A business expanding into many countries may need a regional structure; one running many projects may suit a matrix.

KO 4 3.6.3 | Organisational Design

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

AUTHORITY, HIERARCHY AND SPAN

Authority - the right to make decisions and give instructions.

Hierarchy - the levels of management. A tall structure has many levels; a flat structure has few.

Span of control - the number of people a manager directly supervises. Wide spans go with flat structures; narrow spans with tall ones.

DELEGATION

Passing authority to make decisions to someone lower in the hierarchy. Responsibility for the outcome stays with the manager.

Frees managers' time, develops staff and can motivate them.

Needs trained, trusted staff and clear limits.

CENTRALISATION AND DECENTRALISATION

Centralised - decisions made at the top. Consistent, tight control, can be quick for major decisions; but slow to respond locally and can demotivate staff.

Decentralised - decisions made lower down or in local units. Faster local responses and motivated managers; but less consistency and control.

INFLUENCES AND THE VALUE OF CHANGING DESIGN

Influences: size of the business, its strategy, the skills of staff, leadership style, culture and technology.

Changing design can cut costs, speed up decisions and improve communication - but can also cause uncertainty, low morale and short-term disruption.

EXAM TRAP

A wide span of control is not always better. It works when staff are skilled and tasks are similar; with inexperienced staff, managers become overloaded.

ANALYSIS CHAIN

Decentralise decisions to store managers → quicker responses to local customers → better service and sales → but less consistency across stores.

TOP GRADE CONNECTION

Judge design changes by whether they help the strategy. Decentralisation suits a business serving varied local markets; centralisation suits one where consistency and cost control matter most.

KO 5 3.6.3 | Human Resource Flow

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HUMAN RESOURCE PLAN

Compares the workforce the business will need (numbers, skills, locations) with the workforce it has, and plans how to close the gap.

Based on corporate objectives, sales forecasts, labour turnover and changes in technology.

RECRUITMENT AND TRAINING

Recruitment - internal (promoting existing staff: cheaper, motivating, known people) or external (wider choice and new ideas, but costlier and riskier).

Training - induction for new staff, on-the-job and off-the-job training. Improves skills and productivity, but costs money and trained staff may leave.

REDEPLOYMENT AND REDUNDANCY

Redeployment - moving staff to different roles or locations within the business. Keeps skills and avoids redundancy costs.

Redundancy - when a job is no longer needed. Cuts costs in the long run, but means redundancy payments, lost skills and lower morale among remaining staff.

HOW THE HR FLOW MEETS HR OBJECTIVES

Planning, recruiting, training, redeploying and making redundancies together make sure the business has the right number of staff, with the right skills, in the right places.

Well-managed flow supports engagement and talent development; badly managed flow causes skills gaps or surplus staff.

EXAM TRAP

Redeployment is moving a person to a different job within the business. It is not redundancy and not delegation.

ANALYSIS CHAIN

HR plan identifies digital skills gap → existing staff trained and redeployed → skills gap closed without redundancies → morale and loyalty maintained.

TOP GRADE CONNECTION

The HR plan is only as good as the forecasts behind it. In a fast-changing market, flexible approaches such as redeployment and training may be safer than large recruitment drives.

KO 6 3.6.4 | Motivation Theory

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

WHY MOTIVATION AND ENGAGEMENT MATTER

Motivated and engaged staff tend to be more productive, produce better quality, give better service and are less likely to be absent or leave.

This lowers costs and can improve customer satisfaction and reputation.

TAYLOR - SCIENTIFIC MANAGEMENT

Workers are motivated mainly by money.

Managers should study tasks, find the most efficient way of doing each one, train workers to do it and pay by output (piece rate).

Raised productivity in repetitive work, but ignores social and personal needs and can lead to boring, demotivating jobs.

MASLOW - HIERARCHY OF NEEDS

Needs in order: physiological → safety → love and belonging (social) → esteem → self-actualisation.

A need motivates until it is satisfied; then the next level up becomes the motivator. Lower needs must be met first.

Hard to measure where an individual is, and people may not move through the levels in order.

HERZBERG - TWO-FACTOR THEORY

Hygiene factors - pay, working conditions, company policy, supervision, job security. If poor they cause dissatisfaction, but improving them does not motivate.

Motivators - achievement, recognition, the work itself, responsibility, advancement. These motivate.

Suggests job enrichment rather than pay rises to motivate.

EXAM TRAP

For Herzberg, pay is a hygiene factor - it prevents dissatisfaction but does not motivate. For Maslow, explain the hierarchy (lower needs first), not just the five levels.

ANALYSIS CHAIN

Job enriched with more responsibility (a Herzberg motivator) → staff feel recognised and challenged → greater effort and commitment → higher productivity and lower labour turnover.

TOP GRADE CONNECTION

Use the theory that fits the case and the workforce. Taylor's ideas may still suit simple, repetitive tasks; Herzberg is more useful where quality and initiative matter.

KO 7 3.6.4 | Financial Methods of Motivation

AQA A-LEVEL BUSINESS 7132 - UNIT 3.6 HUMAN RESOURCE MANAGEMENT

PIECE RATE AND COMMISSION

Piece rate - pay for each unit produced. Encourages output; quality may suffer and income is uncertain for staff.

Commission - pay as a % of the value of sales made. Encourages selling effort; can lead to pushy selling and staff competing rather than cooperating.

SALARY SCHEMES

A fixed annual amount paid monthly, not linked to hours or output.

Security for staff and simple to run, but gives no direct reward for extra effort.

PERFORMANCE-RELATED PAY (PRP)

Extra pay or a bonus based on an assessment of an individual's performance against targets, usually at an appraisal.

Can reward contributions that are hard to count, but appraisals may be seen as unfair and targets can encourage short-term behaviour.

INFLUENCES ON CHOICE AND EFFECTIVENESS

Whether output can be measured for each person.

The importance of quality and teamwork.

Cost and the financial position of the business.

What motivates the workforce - Taylor suggests money; Herzberg suggests pay only prevents dissatisfaction.

EXAM TRAP

Performance-related pay is not piece rate. PRP is based on an appraisal of overall performance; piece rate pays per unit produced.

ANALYSIS CHAIN

Sales staff paid commission → more effort to close sales → revenue rises → but customers may feel pressured → repeat business and reputation could suffer.

TOP GRADE CONNECTION

Judge financial methods by what they encourage. A method that rewards quantity can damage quality or teamwork, so it suits some jobs far better than others.

KO 8 3.6.4 | Non-financial Methods of Motivation

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EMPOWERMENT AND TEAM WORKING

Empowerment - giving staff authority to make decisions about their own work. Uses their knowledge and builds commitment, but needs training and trust.

Team working - staff working in groups with shared goals. Meets social needs and brings ideas together, but some members may do less.

FLEXIBLE WORKING

Choice over when or where staff work, e.g. flexitime, part-time hours, remote working.

Helps staff balance work and home life and can widen recruitment, but is harder to coordinate and supervise.

JOB ENRICHMENT AND JOB ROTATION

Job enrichment - giving staff more challenging, responsible work, e.g. a complete task and the authority to plan it. Links to Herzberg's motivators.

Job rotation - moving staff between tasks at the same level. Adds variety and creates a more flexible workforce, but does not add responsibility.

INFLUENCES ON CHOICE AND EFFECTIVENESS

Skills and attitudes of staff - not everyone wants more responsibility.

The nature of the work and the technology used.

Leadership style and culture.

The cost of training and reorganising work.

EXAM TRAP

Job rotation is not job enrichment. Rotation changes the task at the same level; enrichment adds responsibility and challenge.

ANALYSIS CHAIN

Staff empowered to resolve customer complaints → quicker solutions → customers more satisfied → staff feel trusted → higher engagement and lower turnover.

TOP GRADE CONNECTION

Non-financial methods are often cheaper and longer-lasting, but they only work if the workforce wants them and managers are prepared to give up some control.

KO 9 3.6.5 | Employer-Employee Relations

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EMPLOYEE INVOLVEMENT IN DECISION MAKING

Ranges from simply being informed, to being consulted, to sharing in decisions.

Influences: leadership style, culture, size of the business, the law, the type of decision and the skills of staff.

TRADE UNIONS AND WORKS COUNCILS

Trade unions - represent members in negotiations with employers over pay, conditions and jobs (collective bargaining). Can make communication easier, but may take industrial action.

Works councils - groups of employee and management representatives that meet to discuss issues affecting the workforce, e.g. changes to working practices.

MANAGING COMMUNICATION AND RELATIONS

Regular, two-way communication: team meetings, briefings, intranet, suggestion schemes.

Consulting staff before major changes.

Clear procedures for grievances and disputes.

Barriers include too many layers of hierarchy, distance between sites and lack of trust.

THE VALUE OF GOOD RELATIONS

Fewer disputes and less disruption.

Higher motivation and lower labour turnover.

Change accepted more easily.

Better ideas from staff and a stronger reputation as an employer.

EXAM TRAP

Employee representation is not the same as delegation. Unions and works councils give staff a collective voice; delegation passes authority to an individual.

ANALYSIS CHAIN

Works council consulted on new shift patterns → staff concerns addressed early → less resistance → change introduced smoothly → productivity maintained.

TOP GRADE CONNECTION

Good relations take time to build and can be lost quickly. Judge how much involvement is right by the type of decision, the urgency and the level of trust that already exists.